

MEASURING AND MANAGING RISK

This is worse than divorce. I have lost half my money and still have a wife.

—Anonymous (obviously)

OVER THE PAST 30 YEARS ending in 2013, the S&P 500 had an annual total return of 11.1%, while the average stock mutual fund investor earned only 3.69%.¹ Around 1.4% of this underperformance was due to mutual fund expenses. Investors making poor timing decisions accounted for much of the remaining 6% of annual underperformance. This is a remarkable amount of underperformance. Bond fund investors also suffered substantially from poor timing decisions. Investors in passively managed index funds have also been subject to behavioral performance gaps. The Vanguard S&P 500 Index Fund had a 15-year average annual return of 4.58%, while the average investor in that fund earned only 2.68% annually.

There is a strong propensity for investors to buy near market highs and sell near market bottoms due to what John Maynard Keynes called “animal spirits.” Others have called it fear and greed. The greater the volatility, the more pronounced the effect.